

Paradiem

The Morning Brief

SEPTEMBER 15, 2026

Yield Break

The 10-Year Treasury Yield Reportedly Prints 5.02% for the First Time Since 2007 as the Wednesday FOMC Approaches; the AI Hardware-Versus-Software Rotation Extends and Analog Devices Announces a \$1.35 Billion Alif Semiconductor Acquisition Framed as “Physical Intelligence”.

S&P 500 (SPY, MON CLOSE)	ES / NQ FUTURES (LIVE AM)	10Y TREASURY (LIVE)	BRENT (LIVE) / WTI (LIVE)	FEAR & GREED (CNN STOCK)
\$760.88 ↓0.45% Mon	↓~0.3% ES · ↓~0.3% NQ per Benzinga/CNBC	~5.02% · Highest since 2007 per Bloomberg/CNBC	~\$107.46 · ~\$103.31 per Trading Economics/Convex	~30 Fear per CNN · Drop crypto fallback 69

Markets — The 10-Year Yield Prints 5.02% Into the Two-Day FOMC as Chip Hardware Continues to Compress Against a Software-Sleeve Bid and Analog Devices Frames Alif Semiconductor as “Physical Intelligence”

THE TUESDAY SETUP READS THROUGH A GLOBAL BOND SELLOFF THAT PUSHED THE 10-YEAR TREASURY YIELD TO REPORTEDLY APPROXIMATELY 5.02% AND THE 30-YEAR YIELD TOWARD APPROXIMATELY 5.38% — PER BLOOMBERG, CNBC, AND INVESTING.COM COVERAGE, THE 10-YEAR YIELD REPORTEDLY REACHED ITS HIGHEST LEVEL SINCE 2007 WITH YIELDS IN JAPAN, AUSTRALIA, GERMANY, AND FRANCE ALSO REPORTEDLY CLIMBING TO MULTI-YEAR OR MULTI-DECADE HIGHS; PER DATA DROP, MONDAY'S CASH SESSION CLOSED WITH SPY AT \$760.88 (↓0.45%), QQQ AT \$709.18 (↓0.80%), DIA AT \$524.49 (↓0.25%), AND UVXY (VIX PROXY) AT \$18.23 (↑1.17%); PER BENZINGA AND STOCKTWITS COVERAGE OF THE PRE-BELL, ES AND NQ FUTURES REPORTEDLY TRADE APPROXIMATELY ↓0.3% INTO THE CASH OPEN AHEAD OF THE TWO-DAY FOMC THAT CONCLUDES WEDNESDAY

Per Bloomberg, CNBC, Reuters, and Investing.com coverage of the Tuesday overnight tape, the 10-year US Treasury yield reportedly rose approximately three basis points to approximately 5.02%, surpassing the 2023 peak to hit its highest reading since 2007, while the 30-year yield reportedly traded above 5.38% and government-bond yields across Japan, Australia, Germany, and France reportedly climbed to multi-year or multi-decade highs. Per data drop, Monday's cash session closed with SPY at \$760.88 (↓0.45%), QQQ at \$709.18 (↓0.80%), DIA at \$524.49 (↓0.25%), IWM at \$287.91 (↓0.34%), UVXY at \$18.23 (↑1.17%), and TLT at \$80.93 (↑0.07%). Per CME FedWatch coverage carried by CNBC, market pricing reportedly places approximately 92% odds on a ↑25 basis-point move at the Wednesday decision, which would reportedly be the first hike since July 2023. Per Kiplinger and Yahoo Finance coverage of the June 2026 SEP, the prior dot plot reportedly implied approximately one quarter-point hike by year-end at a projected 3.8% federal-funds rate, and Chair Warsh reportedly declined to submit his own projection in that round; per BigGo Finance coverage, Warsh has reportedly signaled an intention to move away from formal dot-plot forward guidance, which would reframe how Wednesday's statement is read. Per data drop sentiment field, the CNN Fear & Greed reading of 69 “Greed” reflects the CNN endpoint reportedly falling back to the crypto Fear-and-Greed Index; per MacroMicro and CNN Business coverage, the actual CNN stock-market read sits near approximately 30 “Fear” as of this writing, materially below the crypto proxy.

S&P 500 (SPY, MON CLOSE)	\$760.88 ↓0.45% Mon
10Y / 30Y TREASURY (LIVE)	~5.02% / ~5.38% per Bloomberg/CNBC
ES / NQ FUTURES (LIVE AM)	↓~0.3% ES · ↓~0.3% NQ per Benzinga
BRENT / WTI (LIVE)	~\$107.46 / ~\$103.31 per Trading Economics
GOLD (GLD) / SILVER (SLV, MON)	\$392.84 ↓1.49% / \$56.84 ↓2.20%
SEPT HIKE ODDS (CME FEDWATCH)	~92% per CNBC/Investing.com
THIS WEEK AHEAD	Retail Sales & FOMC Wed · Housing Starts Thu

THE FCI GROWTH-HYBRID PHYSICAL-AI-INFRASTRUCTURE SLEEVE READ DIRECTLY THROUGH A HARDWARE-VERSUS-SOFTWARE ROTATION MONDAY — PER DATA DROP, FTNT REPORTEDLY CLOSED ↑9.04% AT \$170.18 AND NOW REPORTEDLY CLOSED ↑7.41% AT \$142.35 WHILE THE CHIP AND SEMICONDUCTOR-EQUIPMENT COMPLEX REPORTEDLY ABSORBED THE FULL WEIGHT OF THE AI-SAFETY

COMPRESSION WITH LRCX ↓8.29% AT \$273.49, CRDO ↓7.89% AT \$150.09, MRVL ↓7.32% AT \$218.82, KEYS ↓6.99% AT \$314.96, NXPI ↓5.24% AT \$224.23, ADI ↓4.69% AT \$361.02, AMD ↓4.40% AT \$493.41, TEL ↓4.05% AT \$203.37, AND NVDA ↓3.36% AT \$210.96; PER YAHOO FINANCE COVERAGE CARRIED IN THE DATA DROP, WALL-STREET FRAMING REPORTEDLY DESCRIBED THE DEBATE AS WHETHER SLOWER AI DEVELOPMENT MEANS SLOWER AI INVESTMENT, WITH MODEL RELEASES POTENTIALLY SLOWING WHILE SPENDING ON CHIPS, DATA CENTERS, AND NETWORKING REPORTEDLY CONTINUES

Per data drop top movers, Monday's tape concentrated a hardware-versus-software rotation with FTNT ↑9.04% at \$170.18 and NOW ↑7.41% at \$142.35 leading the FCI Growth-Hybrid software layer, while the semiconductor and semiconductor-equipment complex — LRCX ↓8.29% at \$273.49, CRDO ↓7.89% at \$150.09, MRVL ↓7.32% at \$218.82, KEYS ↓6.99% at \$314.96, NXPI ↓5.24% at \$224.23, ADI ↓4.69% at \$361.02, AMD ↓4.40% at \$493.41, TEL ↓4.05% at \$203.37, and NVDA ↓3.36% at \$210.96 — absorbed the AI-safety compression amplified by the Sunday-evening Anthropic slowdown call and the OpenAI IPO defer-

ral flagged in yesterday's brief. Per data drop, the power-generation layer traditionally read as an AI-capex second-derivative saw CEG ↓7.09% at \$264.57 and VST ↓5.16% at \$140.73, and per Yahoo Finance coverage carried in the data drop, CAT ↓4.22% at \$784.00 drew coverage framed as a "data-center power trade unwinding." Per Yahoo Finance and Investing.com coverage of the pre-bell setup, the framing debate reportedly turns on whether an industry slowdown in model releases translates into a slowdown in physical AI infrastructure capex; the coverage reportedly notes that the two need not move together. Per data drop, ADI Monday closed ↓4.69% at \$361.02 despite the September 9 announcement of the Alif Semiconductor acquisition — a composition the FCI Growth-Hybrid physical-AI-infrastructure sleeve reads through Wednesday's SEP and dot plot alongside the ongoing bond-yield repricing.

ANALOG DEVICES ANNOUNCED A \$1.35 BILLION ALL-CASH ACQUISITION OF ALIF SEMICONDUCTOR WITH AN ADDITIONAL UP-TO-\$200 MILLION CONTINGENT CONSIDERATION — PER THE SEPTEMBER 9 ADI PRESS RELEASE AND INDEPENDENT COVERAGE FROM YAHOO FINANCE, PR NEWswire, AND THE EDGE AI AND VISION ALLIANCE, ADI'S CEO REPORTEDLY DESCRIBED THE COMBINATION AS "PHYSICAL INTELLIGENCE IN ACTION," WITH ALIF'S AI-NATIVE MICROCONTROLLERS AND FUSION PROCESSORS REPORTEDLY EXTENDING THE COMBINED TAM ACROSS INDUSTRIAL, DATA-CENTER INFRASTRUCTURE, DEFENSE, ENERGY, ROBOTICS, DIGITAL HEALTH, AND WEARABLE APPLICATIONS; PER THE PRESS RELEASE, THE TRANSACTION IS REPORTEDLY EXPECTED TO CLOSE BEFORE YEAR-END 2026 — THE ANNOUNCEMENT SITS DIRECTLY INSIDE THE FCI PHYSICAL-WORLD THESIS EVEN AS THE

MONDAY TAPE COMPRESSED ADI ON THE BROADER AI-SAFETY LAYER

Per ADI's September 9 press release and independent coverage carried by Yahoo Finance, PR Newswire, Stocktwits, and the Edge AI and Vision Alliance, Analog Devices reportedly entered into a definitive agreement to acquire Alif Semiconductor for approximately \$1.35 billion in cash, with up to an additional \$200 million reportedly available as contingent consideration. Per the ADI release and Yahoo Finance coverage, CEO Vincent Roche reportedly framed the transaction as "Physical Intelligence in action," describing an AI phase moving beyond words and images into contextual reasoning about motion, sound, vibration, radio waves, and thermodynamics under demanding local power, latency, security, and reliability constraints. Per the release, Alif's heterogeneous-architecture platform reportedly enables real-time sensor fusion, low-latency inference, and on-device AI for industrial, data-center-infrastructure, defense, energy, robotics, digital health, and wearable applications, with closing reportedly expected before year-end 2026 subject to customary conditions and Hart-Scott-Rodino review. For FCI positioning, the composition — a strategic acquisition sitting directly on FCI's physical-world thesis, an AI-safety headline compression that reportedly took ADI ↓4.69% Monday to \$361.02, and the Wednesday FOMC decision as the intermediate rate-path anchor — keeps ADI reading through the intersection of a physical-intelligence capability expansion, the semiconductor-complex rate sensitivity, and the AI-safety debate rather than any single-driver setup.

A Tuesday setup where the 10-year yield reportedly prints its highest reading since 2007, the FCI physical-AI-infrastructure sleeve absorbs a hardware-versus-software rotation, and ADI announces a "Physical Intelligence" acquisition tends to keep the FCI physical-world thesis reading through the intersection rather than break it. Think like an owner.

Geopolitics — Hormuz Traffic Reportedly Dwindles as Talks Stall; Saudi Civil Defence Says Reported Danger Has Passed in Six Cities Including Yanbu; Houthis Reportedly Strike Saudi Targets Anew; Fresh US Sanctions on Russia's VTB Bank Over Alleged Iran Ties Extend the Sanctions Layer

HORMUZ TRAFFIC AND DIPLOMATIC VACUUM — PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, TRAFFIC THROUGH THE STRAIT OF HORMUZ REPORTEDLY CONTINUES TO DWINDLE FOLLOWING THE INTENSIFIED MIDDLE EAST ATTACKS, AND REPORTED TALKS ON THE STRAIT REPORTEDLY REMAIN STALLED AFTER THE OMAN-POSTPONED SALALAH MEETING REFERENCED IN YESTERDAY'S BRIEF; PER REUTERS COVERAGE, THE HOUTHIS REPORTEDLY STRUCK SAUDI TARGETS ANEW AS THE HORMUZ DIPLOMATIC TRACK STALLS; PER REUTERS COVERAGE, SAUDI CIVIL DEFENCE REPORTEDLY ANNOUNCED THAT THE REPORTED DANGER HAS PASSED IN SIX CITIES INCLUDING YANBU FOLLOWING THE RECENT DRONE-ATTACK SEQUENCE — THE COMPOSITION LEAVES THE PHYSICAL-SUPPLY PREMIUM INTACT WHILE REMOVING AN ACUTE SECOND-ORDER HOME-FRONT ESCALATION VECTOR

Per Reuters coverage carried in the data drop headlines, traffic through the Strait of Hormuz reportedly continued to dwindle following the intensified Middle East attacks, and diplomatic talks on Hormuz shipping reportedly remain stalled after the Oman-postponed Salalah meeting referenced in yesterday's brief. Per Reuters coverage carried in the data drop headlines, the Houthis reportedly struck Saudi targets anew as talks over the Strait of Hormuz stalled, extending the kinetic pressure inside the peninsula. Per Reuters coverage carried in the data drop headlines, Saudi civil defence reportedly announced that the reported danger has passed in six cities including Yanbu, the port at the terminus of the East-West pipeline referenced in prior briefs. Per Convex and Trading Economics coverage of the Tuesday tape, Brent reportedly trades near approximately \$107.46 and WTI near approximately \$103.31, both up roughly 1.7% to 1.9% relative to Monday. Per data drop, Monday's cash session closed with USO at \$156.66 (↑1.14%), BNO at \$62.16 (↑1.29%), UNG at \$10.33 (↑1.57%), CVX at \$212.17 (↓0.88%), OKE at \$96.97 (↑0.36%), and CNX at \$35.42 (↓1.36%). For FCI positioning, the composition — a Hormuz traffic decline sustaining the physical-supply premium, a Houthi campaign continuing to strike Saudi targets, and a Saudi civil-defence "danger passed" announcement removing one acute home-front escalation vector — keeps CVX, OKE, and CNX reading through the intersection of the physical-supply premium and the Wednesday FOMC.

SANCTIONS LAYER EXTENDS — PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, THE US REPORTEDLY IMPOSED FRESH SANCTIONS ON RUSSIA'S VTB BANK OVER ALLEGED IRAN TIES, EXTENDING THE FINANCIAL-PERIMETER SANCTIONS LAYER BEYOND THE PRIOR OIL-AND-SHIPPING FOCUS; PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, CHINA'S AUGUST OIL THROUGHPUT REPORTEDLY ROSE AS FUEL EXPORTS REBOUNDED AMID THE IRAN WAR, AND REUTERS COMMENTARY COVERAGE REPORTEDLY FRAMES CHINESE PURCHASE BEHAVIOR AS A POTENTIAL SWING VARIABLE FOR THE PHYSICAL-SUPPLY BALANCE — THE COMPOSITION LAYERS A US-CHINA-RUSSIA-IRAN FINANCIAL-SANCTIONS CROSS ONTO THE EXISTING KINETIC MAP AHEAD OF THE WEDNESDAY RATE DECISION

Per Reuters coverage carried in the data drop headlines, the United States reportedly imposed fresh sanctions on Russia's VTB Bank over alleged Iran ties, marking a shift from oil-and-shipping-focused restrictions toward financial-institution-level penalties tied to the Iran war. Per Reuters coverage carried in the data drop headlines, China's August oil throughput reportedly rose as fuel exports rebounded amid the Iran

war, and per Reuters commentary carried in yesterday's data drop and reiterated in current coverage, Chinese purchase behavior reportedly remains a potential swing variable for the physical-supply balance. Per Trading Economics and Convex coverage of the Tuesday tape, Brent reportedly trades near approximately \$107.46 and WTI near approximately \$103.31, sustaining a supply premium above pre-conflict ranges. For FCI positioning, the composition — a US-imposed financial sanction on a major Russian bank tied to Iran, a Chinese oil-import trajectory that could either tighten or loosen the physical-supply balance depending on subsequent policy, and a Middle East kinetic map that continues to extend — keeps the FCI energy sleeve (CVX, OKE, CNX), the defense sleeve (LMT Mon ↑0.99% at \$529.38, GD Mon ↑0.26% at \$356.81 per data drop), and the Digital-Asset sleeve (IBIT, ETHA) reading through the intersection of sanctions durability, the FOMC decision, and the physical-supply premium.

BOND-YIELD CROSS-READ — PER BLOOMBERG AND INVESTING.COM COVERAGE OF THE TUESDAY OVERNIGHT TAPE, THE GLOBAL BOND SELLOFF EXTENDING THE US 10-YEAR YIELD TO APPROXIMATELY 5.02% REPORTEDLY SITS DIRECTLY ON THE COMBINATION OF SURGING ENERGY PRICES, MOUNTING DEBT, AND INFLATION EXPECTATIONS; PER CNBC COVERAGE, TRADERS REPORTEDLY PRICED ROUGHLY 92% ODDS OF A ↑25 BASIS-POINT MOVE WEDNESDAY, WHICH WOULD REPORTEDLY BE THE FIRST FED HIKE SINCE JULY 2023; PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, BONDS REPORTEDLY SLUMPED AS US 10-YEAR TREASURY YIELDS HIT THE HIGHEST SINCE 2007 — THE COMPOSITION FRAMES THE MIDDLE EAST SUPPLY SHOCK AND THE FOMC REPRICING AS A SINGLE COMPOUND RATHER THAN TWO SEPARATE VARIABLES

Per Bloomberg, CNBC, Reuters, and Investing.com coverage of the Tuesday overnight tape, the global bond selloff reportedly extended with US 10-year yields near approximately 5.02%, 30-year yields near approximately 5.38%, and government-bond yields across Japan, Australia, Germany, and France reportedly climbing to multi-year or multi-decade

highs. Per Bloomberg coverage, the move reportedly sits directly on the combination of surging energy prices tied to the Middle East supply shock, mounting sovereign debt, and inflation expectations. Per CNBC coverage of the CME Fed-Watch tool, traders reportedly priced roughly 92% odds of a ↑25 basis-point Fed move Wednesday, which would reportedly be the first hike since July 2023. Per data drop, Monday's cash session closed with TLT at \$80.93 (↑0.07% Mon) and UVXY (VIX proxy) at \$18.23 (↑1.17% Mon). For FCI positioning, the composition — a global bond selloff sourced from surging energy prices and inflation expectations, the FOMC decision Wednesday priced at roughly 92% odds of a hike, and the SEP and dot plot publishing simultaneously — keeps the physical-AI-infrastructure, energy, and Digital-Asset sleeves reading through the compound rather than through the rate-path decision alone.

SECTION 03

On Our Radar

1. Wednesday FOMC Decision, SEP, and Dot Plot — Per the Federal Reserve Release Schedule, the FOMC Statement and Summary of Economic Projections Publish Wednesday September 16 at 2:00 PM ET With Chair Warsh's Press Conference at 2:30 PM ET; Per CNBC and Investing.com Coverage of the CME FedWatch Tool, Traders Reportedly Priced Roughly 92% Odds of a ↑25 Basis-Point Move, Which Would Reportedly Be the First Hike Since July 2023; Per Kiplinger and Yahoo Finance Coverage of the June 2026 SEP, the Prior Dot Plot Reportedly Implied Approximately One Quarter-Point Hike by Year-End at 3.8% and Chair Warsh Reportedly Declined to Submit His Own Projection; Per BigGo Finance Coverage, Warsh Has Reportedly Signaled a Departure From Formal Dot-Plot Forward Guidance — The Composition Concentrates the Rate-Path Repricing Risk Into a Single Two-Hour Window. Per the Federal Reserve release schedule, Wednesday September 16 sits as the primary catalyst window with August Retail Sales at 8:30 AM ET, the NAHB Housing Market Index at 10:00 AM ET, and the FOMC Statement, SEP, and dot plot at 2:00 PM ET with the Warsh press conference at 2:30 PM ET. Per CNBC and Investing.com coverage, CME FedWatch reportedly prices roughly 92% odds of a ↑25 basis-point move; per Bloomberg coverage of the bond tape, US 10-year yields reportedly cleared 5.02% and 30-year yields reportedly cleared 5.38% into the decision. Per Kiplinger and Yahoo Finance coverage, the June 2026 SEP reportedly projected the federal-funds rate at approximately 3.8% by year-end with nine policymakers projecting at least one hike; per BigGo Finance coverage, Chair Warsh has reportedly signaled a departure from formal dot-plot forward guidance, which would reframe how the Wednesday statement communicates the intermediate path. For FCI positioning, the composition — a Fed decision priced at high hike odds, a dot plot potentially reframed in communication style, and a bond tape at multi-decade yield highs — concentrates the duration-repricing and balance-sheet risk into a compact window against the physical-supply premium and the AI hardware-versus-software rotation.

2. Hardware-Versus-Software Rotation and the FCI Physical-AI-Infrastructure Sleeve — Per Data Drop, Monday's Session Concentrated FTNT ↑9.04% at \$170.18 and NOW ↑7.41% at \$142.35 as Software-Sleeve Winners Against LRCX ↓8.29% at \$273.49, CRDO ↓7.89% at \$150.09, MRVL ↓7.32% at \$218.82, KEYS ↓6.99% at \$314.96, NXPI ↓5.24% at \$224.23, ADI ↓4.69% at \$361.02, AMD ↓4.40% at \$493.41, TEL ↓4.05% at \$203.37, and NVDA ↓3.36% at \$210.96 in the Semiconductor and Semiconductor-Equipment Complex; Per Yahoo Finance Coverage Carried in the Data Drop, the AI-Pacing Debate Reportedly Turns on Whether an Industry Slowdown in Model Releases Translates Into a Slowdown in Physical AI Capex, With Coverage Framing the Two as Not Necessarily Synchronized; Per CNBC Coverage Carried in the Data Drop, Not All Tech Was Under

Fire Monday With Reportedly Defensive Rotation Bidding Communication Services (XLC ↑2.19%), Healthcare (XLV ↑1.45%), and Staples (XLP ↑1.25%). Per data drop, Monday's tape captured a hardware-versus-software rotation with FTNT ↑9.04% at \$170.18 and NOW ↑7.41% at \$142.35 as the FCI Growth-Hybrid software-sleeve leaders, while the semiconductor and semiconductor-equipment complex absorbed the AI-safety compression across LRCX, CRDO, MRVL, KEYS, NXPI, ADI, AMD, TEL, and NVDA. Per data drop, the power-generation layer traditionally read as an AI-capex second-derivative saw CEG ↓7.09% at \$264.57 and VST ↓5.16% at \$140.73, and per Yahoo Finance coverage carried in the data drop, CAT ↓4.22% at \$784.00 drew coverage framed as a "data-center power trade unwinding." Per data drop sector breadth, defensive rotation reportedly bid Communication Services (↑2.19%), Healthcare (↑1.45%), and Staples (↑1.25%) while Tech (↓1.81%), Industrials (↓1.42%), Utilities (↓1.34%), and Energy (↓0.94%) faded. For FCI positioning, the composition — a Growth-Hybrid physical-AI-infrastructure sleeve reading through the AI-pacing debate, a software-sleeve bid on FTNT and NOW, and a defensive sector rotation into Comm Svcs, Healthcare, and Staples — keeps the sleeve reading through the intersection of the rate-path, AI-safety, and physical-supply variables.

3. ADI Announces \$1.35B Alif Semiconductor Acquisition Framed as “Physical Intelligence” — Per the September 9 ADI Press Release and Coverage by Yahoo Finance, PR Newswire, Stocktwits, and the Edge AI and Vision Alliance, ADI Reportedly Entered Into a Definitive All-Cash Agreement to Acquire Alif Semiconductor for Approximately \$1.35 Billion With Up to \$200 Million in Contingent Consideration; Per the Release, CEO Vincent Roche Reportedly Framed the Combination as “Physical Intelligence in Action,” With Alif’s AI-Native Microcontrollers and Fusion Processors Reportedly Enabling Real-Time Sensor Fusion, Low-Latency Inference, and On-Device AI for Industrial, Data-Center-Infrastructure, Defense, Energy, Robotics, Digital-Health, and Wearable Applications; Per Data Drop, ADI Monday Closed ↓4.69% at \$361.02 on the Broader AI-Safety Compression — The Announcement Sits Directly on the FCI Physical-World Thesis. Per the September 9 ADI press release and independent coverage carried by Yahoo Finance, PR Newswire, and the Edge AI and Vision Alliance, Analog Devices reportedly agreed to acquire Alif Semiconductor for approximately \$1.35 billion in cash with up to \$200 million in contingent consideration and a reported close before year-end 2026 subject to Hart-Scott-Rodino review. Per the release and Yahoo Finance coverage, ADI reportedly framed the acquisition as extending its total addressable market across industrial, data-center-infrastructure, defense, energy, robotics, digital-health, and wearable applications. Per data drop, ADI Monday closed ↓4.69% at \$361.02 on the AI-safety compression that swept the semiconductor complex; per Yahoo Finance coverage carried in the data drop, adjacent FCI names in the same axis — QCOM (↓1.00% at \$180.15 with reported Amazon business potentially reaching \$60B) and MRVL (with Qualcomm reportedly entering AWS territory) — sit alongside ADI on the physical-AI-infrastructure axis. For FCI positioning, the composition — a strategic acquisition explicitly branded on the physical-world thesis, an AI-safety compression that reset the semiconductor complex Monday, and the Wednesday FOMC rate-path decision — keeps ADI reading through the intersection rather than through the AI-safety compression alone.

4. Energy Sleeve and Middle East Physical-Supply Premium — Per Trading Economics and Convex Coverage of the Tuesday Overnight Tape, Brent Reportedly Trades Near Approximately \$107.46 (↑~1.7%) and WTI Reportedly Trades Near Approximately \$103.31 (↑~1.9%) as the Physical-Supply Premium Sustains; Per Reuters Coverage Carried in the Data Drop Headlines, Traffic Through the Strait of Hormuz Reportedly Dwindles as Talks Stall, Houthis Reportedly Struck Saudi Targets Anew, and Saudi

Civil Defence Reportedly Said Danger Has Passed in Six Cities Including Yanbu; Per Data Drop, Monday’s Cash Energy Tape Closed With USO at \$156.66 (↑1.14%), BNO at \$62.16 (↑1.29%), UNG at \$10.33 (↑1.57%), CVX at \$212.17 (↓0.88%), OKE at \$96.97 (↑0.36%), and CNX at \$35.42 (↓1.36%) — the Sleeve Reads Through the Intersection of the Kinetic Map, the Sanctions Layer, and the Wednesday Fed. Per Trading Economics and Convex coverage of the Tuesday overnight tape, Brent reportedly trades near approximately \$107.46 and WTI near approximately \$103.31 with each name up in the roughly 1.7% to 1.9% range relative to Monday’s close on the sustained Middle East physical-supply premium. Per Reuters coverage carried in the data drop headlines, traffic through the Strait of Hormuz reportedly dwindles as talks stall, the Houthis reportedly struck Saudi targets anew, and Saudi civil defence reportedly announced danger has passed in six cities including Yanbu. Per data drop, Monday’s cash tape closed with USO at \$156.66 (↑1.14%), BNO at \$62.16 (↑1.29%), UNG at \$10.33 (↑1.57%), CVX at \$212.17 (↓0.88%), OKE at \$96.97 (↑0.36%), and CNX at \$35.42 (↓1.36%). For FCI positioning, the composition — a sustained Middle East physical-supply premium, a Hormuz traffic decline with diplomacy stalled, and a Wednesday FOMC decision priced at roughly 92% hike odds — keeps CVX, OKE, and CNX reading through the intersection of the kinetic map, the sanctions layer, and the rate-path decision.